

Perspectives on Economic dimensions of Bankruptcy

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Abstract:

This paper analysis the existing bankruptcy procedures in various countries and discusses pre and post effects of bankruptcy on various stakeholders. We also propose further reforms of systemic bankruptcy, namely: Super Bankruptcy Code & Contingent Capital (CoCo) for enhancing economic efficiency of bankruptcy process.

Key Words:

Bankruptcy, Liquidation, Reorganization, Creditors, Corporate debt,

1.Introduction:

“Capitalism without bankruptcy is like Christianity without hell.” By Frank Borman

Corporate bankruptcies are common. While all entrepreneurs are interested in success, unfortunately a majority of their ventures fail and many end up in bankruptcy. Entry and exit are fundamental underpinnings of the competitive process. They ensure that a sufficient number of firms remain in an industry, and produce efficiently, in order to satisfy the market demand at a competitive price. The competitive process results in the flow of resources into efficient units and out of inefficient ones - a process which may also be interpreted as 'entry' and 'exit'.

The process of exit, whatever form it takes, is set in motion by either the firm itself (usually the managers) or by its creditors. The more common forms of exit - the flow of resources out of an activity taking place in downsizing and restructuring, mergers and takeovers - are generally planned and implemented by the management on behalf of the firm's owners. But the more drastic forms of exit - entering the bankruptcy proceeding with the possibility of liquidation - are usually forced upon the firm by its creditors or by legal provisions aimed at protecting the interest of creditors.

The bankruptcy procedure is usually triggered off when a firm default on its debt. But the procedure does not necessarily lead to the exit of the firm, or even the exit of some production

capacity. Liquidation (or exit in the strict sense of the term) is only one option faced by the management. In this case, the bankruptcy procedures specify the manner in which the firm in the liquidation process is either sold as a going concern or its assets are disposed of piece by piece, in order to repay the claimants in accordance with the Absolute priority rule. Alternatively, the bankruptcy procedures may allow the management to choose the option of 'reorganization' or restructuring which is aimed at finding a method of rescuing the firm from financial distress and salvaging all or parts of it for the benefit of all claimants. Typically, it involves a process of negotiation between debtors and creditors with a view to establishing a new mechanism for the settlement of claims which may be different from the APR: writing off some of the claims, injection of new capital, swapping new equities for old ones, exchanging bonds and other debts with new notes, bonds or cash, etc. In short, it amounts to a re-writing of the debt contracts of different groups of claimants and creditors (Balcerowicz, Gray, & Hoshi, 1998).

Liquidation and bankruptcy are often discussed in the literature as though they are related. is process of dismantling the firm's assets and selling them (either piecemeal or in their) to new management teams. Liquidation is optimal when the value of the firm's existing resources is in alternative uses. Hence liquidation should be viewed as a capital budgeting decision that is independent of the way in which the firm is financed. For the past one hundred and fifty years or so, bankruptcy laws have generally attempted to achieve two separate and conflicting ends. The first is to protect creditors and encourage lending by creating greater certainty about debt repayment in the event of a business failure. The second is to encourage and business development with the possibility of providing second chances in the event of business failure.

Standard microeconomic theory has little to say about bankruptcy. For example, among leading textbooks neither Samuelson's Economics nor Alchian and Allen's University Economics list the word "bankruptcy" in their indexes. Alchian and Allen discuss entry but do not list exit in their index. Samuelson lists neither entry nor exit. Yet the theory of atomistic competition accords an important role to entry and exit in adjusting long-run supply and demand and allocating resources efficiently. A theory of how firms function, which is critical to the formulation of principles for the evaluation of bankruptcy laws, is not found in any of these.

The variety of ways in which assets are restructured in bankruptcy suggests that the traditional distinction between "reorganization" and "liquidation" in the academic literature – and the presumption that asset sales/liquidations generate less value for creditors than reorganizations – has become increasingly less meaningful. This distinction is further blurred when investors buy debt in a bankrupt firm with the goal of exchanging it for a controlling equity stake under a plan of reorganization. This strategy gives the investor effective control of the assets, and economic ownership that is equivalent to having purchased the business directly.

In one word, the market approach to the financial problem is bankruptcy. Firms go bankrupt when they do not have enough capitation to pay their bills. Bankruptcy is a normal part of economic life, covered by laws that guarantee stockholders will be compensated as much as possible. More efficient firms move in to take over what is left of bankrupt firms, buying what can be put to productive use.

2. Bankruptcy Codes – International perspective

Bankruptcy codes vary substantially across countries in terms of the degree of creditor rights and control in the bankruptcy process. Part of the variation is rooted in the differences in countries' legal origins, which influence the legal rules and law enforcement. In this section comparative salient features of the bankruptcy laws in various developed and developing countries with different legal origins are discussed:

(a) US: Rationale behind the bankruptcy procedure is “debtor-oriented”, where survival of the firm, saving jobs, and retaining firm’s productive capacities is weighted more than opting for liquidation. In Chapter 11(the reorganization option) of the US bankruptcy code, the automatic stay provision stops creditors from collecting principal and interest payments and from seizing collaterals. The debtor-in possession provision allows the debtor to retain control of the firm and provides it with the exclusive right to propose a reorganization plan in the first 120 days after the bankruptcy filing. Then the reorganization plan must be approved by all classes of creditors, the equity holders, and the court. To surmount the atavistic risk-taking behavior by the management and protect creditors, the plan is drafted with restrictions: for example, a threshold debt-asset ratio or market valuation beyond which automatic sanctions come into effect (Balcerowicz et al., 1998).

(b) United Kingdom: In comparison to US, rationale behind the bankruptcy procedure is “creditor-oriented”, where creditor’s interests are given priority than debtor’s and firm’s management loses its unquestioned rights to manage the firm’s assets during proceedings. In the 1986 Insolvency Act offers the management and creditors of an insolvent firm several options: liquidation, or all of which involve the appointment of an insolvency practitioner to protect the interests of creditors. One important distinguishing feature of the UK procedures is the fact that the reorganization plan is prepared by the administrator and not by the management

(c) Germany: In Germany, the receiver is appointed by the bankruptcy court rather than by creditors. The receiver does not represent any single group of creditors but is bound by the resolution of the creditors’ meeting. The receiver overlooks the debtor’s operations and proposes the reorganization plan. In larger bankruptcy cases, the receiver generally develops the reorganization plan in cooperation of a creditors’ committee. Then the plan must be approved by creditors through majority voting. There is up to three months of automatic stay against secured creditor claims.

(d) Sweden: According to the Swedish bankruptcy system all bankrupt firms are auctioned off by the bankruptcy court either as a going concern or piecemeal. The incumbent management team is immediately replaced by an independent, court-appointed trustee with a "fiduciary responsibility towards creditors. The trustee organizes the sale of the "firm's assets in an open ascending English-style auction, either piecemeal or as a going concern. A going concern sale takes place by merging the assets and operations of the "firm into a receiving company which is either established or held by the buyer. The auction typically attracts 3-4 bidders, and payments are restricted to cash only. The bulk of cash represents bank debt "financing provided to the buying corporation, much like in a leveraged buyout. As under Chapter 11, the operations of a

"firm in auction bankruptcy are protected through automatic stay of creditors. In other words, once the trustee takes over, debt service is halted, and creditors cannot seize collateral.

(e) France: In France we go to the other end of the creditor control spectrum. The bankruptcy court has full control of the bankrupt firm and the whole bankruptcy process. The objectives of the court are, in the order of priority, to maintain firms in operation, preserve employment, and satisfy creditors' claims. The emphasis on continuing operations and employment does not necessarily imply that the bankruptcy system favors shareholders. The court may make decisions that maximize employment stability at the cost of both shareholders and creditors. The court appoints a judicial administrator, who assesses the viability of the firm, proposes a reorganization plan, and makes all the important decisions about the firm. Incumbent management is generally retained but is under the supervision of the administrator. More importantly, the administrator does not represent the interest of creditors. The only way for creditors to convey their concerns is through non-binding recommendations to a court-appointed creditor representative, who may then make non-binding recommendations to the court.

(f) Brazil: In Brazil, creditors' priority in the case of corporate bankruptcy is substantially enhanced. Tax, labor, and other liabilities are not transferred to the buyer of a liquidated property, which increases the market value of the distressed firms' assets and thus increase recovery for creditors. There is a 180-day automatic stay on assets management makes a reorganization proposal, which must be approved by creditors. Finally, the new law also introduces an out-of-court reorganization procedure and addresses issues related to managerial frauds in the reorganization process.

(g) Spain: Spain has one of the world's lowest business bankruptcy rates, i.e., number of business bankruptcies divided by the total number of firms in the economy. The low efficiency of the Spanish bankruptcy system relative to that of an alternative insolvency institution, the mortgage system, induces firms to avoid filing for bankruptcy. In other words, holding mortgage debt is a very effective "bankruptcy-avoidance" activity in Spain.

(h) India: The Insolvency and Bankruptcy Code, 2016 (IBC) seeks to consolidate the existing framework by creating a single law for insolvency and bankruptcy. The Code according to some experts is a landmark piece of legislation establishing a robust legal framework which brings about a much overdue reform that is aimed at creating necessary procedures for swift resolution of insolvency and bankruptcy in India. It attempts at bringing the Indian statutory regime at par with some of the most legally advanced jurisdictions of the world.

3. Economic Implications of Bankruptcy

Bankruptcy is a complicated and difficult process, and research suggests that in most countries existing bankruptcy regimes do not perform very well. (Djankov et al., 2008). A survey of insolvency practitioners from 88 countries on debt enforcement indicates that bankruptcy procedures are time-consuming and costly. In only 36% of countries, the business is preserved as a going concern, and an average of 48% of the business' value is lost in debt enforcement. In developing countries simpler procedures such as quick foreclosure and transfer of control of the firm to secured creditors work best, whereas more elaborate procedures including reorganization (which is most likely to preserve the business as a going concern), are likely to be more

successful in richer countries with greater capacity for enforcement. A study of 37 industrial and developing countries finds that during the 1990s, bankruptcies are higher in countries with Anglo-Saxon legal systems, greater judicial efficiency, market-oriented financial systems (characterized by multiple banking relationships), and overall greater economic development.

Modern firms are characterized by a web of formal and implicit contracts which integrate and articulate the interests of different parties with claims on a firm's assets. The interested parties, or claimants, include the firm's creditors with varying degrees of seniority: government, banks or creditors with secured collateral, employees, ordinary bondholders and unsecured creditors, customers, suppliers and, of course, managers and shareholders. These formal and implicit contracts are part and parcel of the system of property rights in developed market economies. Their operation is facilitated through the financial system and financial markets.

The distressed firm may embark on formal or informal negotiations with its creditors with a view to work out a program of rehabilitation by rescheduling its debts and rearranging its financial status. Such programs usually involve restructuring of the firm including downsizing and the closure of loss-making operations. Here, too, there will be some 'exit of resources' from the industry. Another possibility facing the financially distressed firm, of course, is its liquidation - the physical exit of the firm from the market - which is embarked upon when all other venues are closed. A central tenet in economics is that competition drives markets toward a state of long-run equilibrium in which those firms remaining in existence produce at minimum average costs. Economic theory suggests that bankruptcy should serve as a screening process designed to eliminate only those firms that are economically inefficient and whose resources could be better used in some other activity.

Bankruptcy law provides a collective framework for simultaneously resolving all debts when debtors' assets are less valuable than their liabilities. This includes both rules for determining which of the debtor's assets must be used to repay debt and rules for dividing the assets among creditors. Thus, bankruptcy is concerned with both the size of the pie - the total amount paid to creditors - and how the pie is divided. The bankruptcy law and procedures can directly shape aggregate productivity along the exit margin through a variety of channels, including the strength of market selection and the scope and speed at which scarce resources consumed by failing firms can be reallocated to more productive uses. However, since market imperfections often generate obstacles to the orderly exit of failing firms, the efficiency of insolvency regimes emerges as particularly crucial. A challenge confronting policymaker around the world is: How to facilitate bankruptcy process so as to maximize economic positives and minimize its negative economic effects.

(a). Creditor Passivity

The existence of bankruptcy laws will not, in themselves, ensure their application. Laws can only be applied if creditors have an incentive to pursue the debtors and demand their claims. Creditor passivity is one of the main obstacles to a faster restructuring of enterprises on the one hand and the relatively small number of bankruptcies on the other. In many cases, banks prefer to wait and retain some chance of recovering their claims (or parts of them) rather than push the debtor into

bankruptcy and receive nothing or very little. More importantly, the loans are part of the 'assets' side of the banks' balance sheet and their writing off will reduce the value of the bank - which is not in the interest of banks' managers. The banks expect that, in the end, enterprise debts will be written off by the government and the banks will be recapitalized, thus the incentive to wait rather than embark on the bankruptcy process. This approach of the banks leads to economically inefficient fall out for the firms under financial stress.

(b). The indirect contribution of the bankruptcy process

Direct measures of the impact of bankruptcy process underestimate its importance in contribution to national prosperity. This is because they fail to account for the 'enabling' role played by the bankruptcy system and procedures. This role includes creating an environment that is conducive to entrepreneurship and appropriate risk taking, while safe-guarding creditors.

The bankruptcy system is a very sophisticated and complex institution. One purpose of the bankruptcy process is to certify the change in contractual obligations that insolvency necessitates. But more important from an economic standpoint, the legal process seeks to scrutinize the obligations, position, and prospects of the bankrupt firm with a view to, this contribute to allocative efficiency and growth

(c). The option value of bankruptcy

Debtors' right to file for bankruptcy can be expressed as a put option. If debtors' future wealth turns out to be high, they repay their debts in full; but if their future wealth turns out to be low, they can exercise their option to "sell" the debt to creditors by filing for bankruptcy. The price of exercising the put option is the cost of filing plus the amount that debtors are obliged to.

4. Bankruptcy process and investors interest

In practice, the willingness of banks and investors to support new businesses depends a great deal on the rules that govern failing businesses. Effective insolvency regimes save struggling firms when possible or reallocate assets of failing firms more productively. These procedures focused on the end of the business life cycle have a profound impact on the beginning. Banks and investors are more willing to lend when they know they can recover at least some of their investment. Entrepreneurs are more willing to enter the market when they are not putting their entire personal fortunes at risk.

5. Time spent on bankruptcy procedure

The cost of bankruptcy is positively related to the length of time spent on the bankruptcy procedure (Bebchuk, 2000; Bris et al., 2006). In a liquidation bankruptcy, a fast procedure allows the quick reallocation of assets of failed firms to better uses. At the same time, a fast procedure can provide an entrepreneur a new opportunity to start a new business. If a firm files reorganization bankruptcy (such as Chapter 11 in the United States), a fast procedure may protect the value of the assets of the firm and improve its chances for an eventually successful turnaround (Bebchuk, 2000). A lengthy process characterized by an uncertain outcome, however,

may make business partners (such as buyers and sellers) reluctant to maintain their business relationships. This in turn may reduce earnings and the value of firm assets (LoPucki and Doherty, 2002).

In sharp contrast to the transitional economies of Central and Eastern Europe which are characterized by "creditor passivity", the creditors in a developed market economy have direct and strong incentives to insist on the implementation of the appropriate legal provisions when faced with a defaulting debtor.

6. Cost of bankruptcy procedure

In addition to the lengthy time, the actual cost involved in filing bankruptcy may also make entrepreneurs procrastinate about filing bankruptcy (Bris et al., 2006).

(a). Direct costs: are the legal, administrative and advisory fees that the firm bears as a result of entering the formal bankruptcy process. Warner (1977) estimates the direct cost to be around 4% of the firm's pre-bankruptcy value. The World Bank's Doing Business Report finds that in the United States, the direct cost is approximately 7% of the assets of the firm. This underscores Mason's (2005: 1523) argument that costly bankruptcy "can cause sluggish economic growth." In other words, high bankruptcy cost may discourage firms to file bankruptcies even when at the societal level, it may be more valuable for them to go bankrupt so that resources and employees can be channeled toward more productive use.

In theory, direct bankruptcy costs should not be confounded with liquidation costs. The former is the cost associated with using the legal mechanism to resolve financial distress, and the magnitude of this cost is important to assess the impact of bankruptcy on corporate financial policies. The latter is the cost incurred in selling off a firm's assets and closing up the firm's operations

(b). Indirect Costs: Potentially more significant and substantial are the indirect costs of financial distress and bankruptcy. These costs can be viewed as opportunity costs, in that they collectively represent the outcome of suboptimal actions by corporate stakeholders when the firm becomes financially distressed. Thus, costs that arise because of inter- or intra-group conflicts of interest, asymmetric information, holdout problems, lost sales and competitive positions, higher operating costs, and ineffective use of management's time all potentially represent the indirect costs of bankruptcy.

Several studies claim the indirect costs of financial distress to be significant and positive. For example, Altman (1984) measures the indirect costs of bankruptcy as the decline in the sales of bankrupt firms relative to others in the same industry and as the difference between the realized earnings and the forecasted earnings. On that basis, the author argues that indirect bankruptcy costs on average range from 11% to 17% of firm value up to three years prior to bankruptcy. However, this study does not clearly distinguish costs attributable to financial distress from those attributable to economic distress.

The empirical magnitude of the indirect costs is central to the consequence corporate bankruptcy. A common sentiment is that the indirect costs are substantially larger than the direct costs. However, these costs are difficult to observe and measure.

7. Before and Aftermaths of Bankruptcy

(a). Impact on supply chain

Bankruptcy not only concerns the firm facing bankruptcy risk, but also other parties in its supply chain. The interaction between bankruptcy and supply chain dynamics is a two-way street: not only could one firm's (potential) bankruptcy have a profound influence on the decisions and performance of other parties in its supply chain, supply chain interactions can also affect the distressed firm's risk of bankruptcy and the bankruptcy outcome.

(b). Contagion effect of bankruptcy

An oft-repeated concern is that bankruptcy is contagious within an industry. The common view is that one firm's bankruptcy makes customers and suppliers wary of the other firms in the same industry irrespective of their economic health and hence makes them worse off as the bankruptcy announcement reveals negative information about the components of cash flows that are common to all firms in the industry and, consequently, decreases the market's expectation of the profitability of the industry's firms. However, the bankruptcy announcement need not convey only bad news for competitors. It can potentially increase the value of the nonbankrupt firms in the industry by redistributing wealth from the bankrupt firms to their competitors

(c). Valuation effects of bankruptcy announcements

The effect of a bankruptcy announcement on competitors is the sum of the contagion and competitive effects. Whereas in general one would expect the contagion effect to be negative and the competitive effect to be positive, no theoretical argument suggests that one of the effects ought to dominate the other irrespective of the characteristics of the industry. If a bankruptcy is caused mainly by a decrease in efficiency, so that the firm will either emerge from bankruptcy smaller or exit the industry altogether, competitors are likely to benefit. If, on the other hand, a bankruptcy is caused by a decrease in demand or an increase in costs common to all firms in the industry, the contagion effect will dominate as long as the common effect is large enough or the degree of imperfect competition low enough.

(d). Bankruptcy and its effect on stock price

Bankruptcy filing has a strong negative effect on the value of the filing firm's stock.⁹ Presumably, the stock price falls because of an increase in the present value of bankruptcy costs and because the bankruptcy announcement provides information about the true value of the firm's assets and the shareholders' claim on those assets. But a look at the stock-price reaction for the bankrupt firm does not reveal how much of the information in the bankruptcy announcement is firm-specific and how much is industry-wide, nor does it tell us whether other firms in the industry benefit from the difficulties of the bankrupt firm.

8. Proposals for Further Reforms of Systemic Bankruptcy

Two promising avenues for reforms in the resolution of systemic distress, namely super bankruptcy code and contingent capital (CoCo).

(a). Super Bankruptcy Code

The concept of super bankruptcy code was originally introduced by Miller and Stiglitz (1999) which tantamounts to mandating private workouts through debt-to-equity conversion. This mechanism is designed to preserve the value of a distressed firm consistent with economic efficiency, to prevent inefficient liquidation that often occurs in a system crisis, and to provide protection against large macroeconomic shocks. The basic presumptions of super bankruptcy are that (a) debt-to-equity conversion will be forced, and (b) current management remains in place. Managers will not be held responsible or penalized to the extent that the crisis stems from macroeconomic shocks. The idea of super bankruptcy is worth looking into, since the positive features are impressive, in that there is the potential to preserve the going-concern value, prevent excessive liquidations, and maintain existing management with valuable institution specific capital.

(b). Contingent Capital (CoCo)

There is growing attention in academic and regulatory circles for possible adoption of a new regulatory instrument issued by financial institutions in normal times. These instruments are convertible to equity when the issuing firm and the financial system are in crisis. This is unlike a traditional convertible bond that gives a bondholder an option to convert into equity on the upside in the boom times. To the contrary, conversion is automatic and mandatory, and it occurs during stress times, if one or more triggers are met. An example of a trigger is a predetermined threshold of the required bank capital at or below which CoCo would automatically convert.

CoCo is actually similar to the super bankruptcy mechanism, but the debt-to-equity conversion is not mandated by the bankruptcy code. The role of the regulator is to promote such a hybrid security to be issued by financial institutions, and it could do so through incentives in the form of reducing regulatory burden, such as capital requirements. In fact, through automatic conversion into equity, an under-capitalized and/or insolvent bank becomes better capitalized without imposing cost to society. The cost is borne by the investors, and there would be no need for costly bailouts.

9. Conclusion

The fundamental economic efficiency question about the bankruptcy law is whether the law effectively rehabilitates economically efficient but financially distressed firms and liquidates economically inefficient firms. Carefully planned, surgical bankruptcies or prepackaged bankruptcies increase the probability of successful outcomes.

In bankruptcy procedures, both debt and fault are bargained in a way that interlinks the three temporal dimensions: past, present, and future. How were past expectations about the future (e.g. profit expectations) narrated at a moment when the risk had been realized and had become a loss? How was this past idea of the future reconstructed and evaluated? How were ideas of the future constructed during the procedure, at a moment where compromised transactions had to be re-evaluated? How did the actors narrate the prospects of the business? How was the moment of insolvency determined, a question relevant both for the commercial and criminal procedure? Did the suspension of payment and the formal rehabilitation represent clearly defined turning points isolating a before and an afterwards of bankruptcy.

Since all businesses which avail themselves to bankruptcy protection do so with the spectre of ending in liquidation in which case all economic activity previously associated with that business ceases and it is as if it was never in business for the purpose of measuring economic activity and impact. Conversely, when a business is restructured there is a potential for jobs to be retained, continued positive economic activity, equity maintenance and even wealth creation. Effectively, this is no different than if a new business had come into being for the first time. It is worth noting that many bankruptcies arise from temporary circumstances, such as economic downturns, which can cause businesses to fail. But downturns and market changes may reverse over time, which may in turn allow the business to once again prosper. It is therefore enjoined upon all the parties involved in the bankruptcy process to look at the micro and macroeconomic dimensions and effects of bankruptcy with a view to ensuring an economically efficient and effective culmination of the exit process.

When bankruptcy code is creditor friendly, excessive liquidations cause levered firms to shun innovation, whereas by promoting continuation upon failure, a debtor-friendly code induces greater innovation. Bankruptcy law not only affects financially distressed corporations and their creditors, but also their workers and competitors but the entire economy. What is crucial for the economy is that firms with a chance of survival should not go bankrupt prematurely. The optimum rate of is one that involves least cost to the society as a whole, and results in the preservation of firms over a longer time period than that dictated by short term financial considerations.

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